

CRYPTO HEDGE FUND – STARTUP CAPITAL & 3-YEAR ECONOMIC MODEL (2026)

1. Estimated Startup Capital Requirements by Jurisdiction

Jurisdiction	Regulatory & Legal	Ops Setup	Staff (Year 1)	Total Est. Startup
UAE (Dubai)	\$150k–\$300k	\$200k	\$600k–\$1.2M	\$950k–\$1.7M
Cayman Islands	\$100k–\$250k	\$150k	\$500k–\$1M	\$750k–\$1.4M
UK	\$250k–\$500k	\$250k	\$800k–\$1.5M	\$1.3M–\$2.25M
Switzerland	\$300k–\$600k	\$300k	\$900k–\$1.6M	\$1.5M–\$2.5M
Singapore	\$200k–\$400k	\$250k	\$700k–\$1.3M	\$1.15M–\$1.95M

Note: Estimates assume institutional-grade compliance, third-party fund admin, audit, custody, technology stack, and minimum professional staffing (CIO, COO, compliance, quant dev).

2. Projected 3-Year Fund Economics (2 & 20 Model)

Assumptions: 2% management fee, 20% performance fee, 12% gross annual return, operating costs ~ \$1.2M annually, scaling with AUM growth.

Year	AUM	Mgmt Fees (2%)	Perf Fees (20%)	Total Revenue	Est. Net Profit
Year 1	\$25M	\$500k	\$600k	\$1.1M	-\$100k (near breakeven)
Year 2	\$75M	\$1.5M	\$1.8M	\$3.3M	\$1.8M+
Year 3	\$150M	\$3M	\$3.6M	\$6.6M	\$4.5M+

Breakeven AUM Estimate: ~\$30M–\$40M depending on jurisdiction and cost discipline.

High-margin scalability begins beyond \$75M AUM due to fixed-cost leverage.